

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

SEALINK DO BRASIL, *Claimant*

v.

HAPAG-LLOYD AG, *Respondent*.

DOCKET NO. 2034(F)

Served: July 31, 2026

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

INITIAL DECISION¹

I. INTRODUCTION

A. Procedural History

On July 9, 2025, the Secretary of the Federal Maritime Commission issued a Notice of Filing of Small Claims Complaint and Assignment, stating that Claimant Sealink do Brasil (“Sealink”) had filed an informal small claims complaint against Respondent Hapag-Lloyd AG (“HLAG”), alleging violations of the Shipping Act. The claim identifies Hapag-Lloyd USA LLC (“HLUSA”) as a place where Hapag-Lloyd has United States operations, but does not clearly identify HLUSA as a respondent. The claim was docketed as an informal claim pursuant to 46 C.F.R. Subpart S of the Commission’s Rules for adjudication of this proceeding.

On August 4, 2025, HLAG and HLUSA (collectively “Hapag-Lloyd”) filed a response and indicated that they did not consent to the use of the informal procedures set forth at 46 C.F.R. Subpart S. Therefore, the claim was converted to an adjudication under the procedures at 46 C.F.R. Subpart T. 46 C.F.R. § 502.311.

On August 21, 2025, Sealink filed a reply addressing Hapag-Lloyd’s arguments, clarifying its role, and attaching English translations of documents.

B. Summary

Claimant Sealink, which describes itself as the destination handling agent for the non-vessel operating common carrier (“NVOCC”) Asstra NY Inc. (“Asstra”), alleges that Respondent Hapag-Lloyd, an ocean common carrier, violated section 41102(c) by assessing

¹ This initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.318.

unjust and unreasonable demurrage charges in connection with a household goods shipment exported from the United States to Brazil in March of 2024. Sealink challenges the following practices: charging demurrage to a non-contractual party (handling agent); refusing to redirect billing to the actual booking party (Asstra NY Inc.); using threats of system blocking and litigation to compel payment; forcing execution of a legal payment agreement under duress; and applying interest on disputed amounts. Claim at 2.²

Hapag-Lloyd responds that section 41102(c) should not apply to charges incurred outside of the United States, charges were properly billed to the consignee, and the Commission has already dismissed an identical charge complaint. Response at 1. Hapag-Lloyd further asserts as preliminary matters that the complaint is not properly verified; the translation of foreign language documents is not verified; the complaint fails to state a claim; and Hapag-Lloyd USA should be dismissed as a party. Response at 3-4.

Sealink filed a reply arguing that it was not the contracting party but rather the destination handling agent; it made repeated good faith attempts to collect payment from the beneficial cargo owner; and that Hapag-Lloyd compelled it to pay under duress. Reply at 2. Additionally, the reply attaches a sworn translation of exhibits.

This case includes a number of interesting issues, including whether it was unreasonable to bill the consignee and whether charges incurred outside of the United States are subject to the Commission's Demurrage and Detention Rule. As discussed more below, Claimant has failed to establish an unreasonable practice and therefore, the claim is **DENIED** and **DISMISSED**.

II. FINDING OF FACTS

A. The Parties

1. Claimant Sealink do Brasil is a private corporation established under Brazilian law, with its principal place of business in Brazil. Claim at 1.
2. Respondent Hapag-Lloyd AG is a corporation organized under German law, with principal offices in Hamburg, Germany. Claim at 1.
3. Hapag-Lloyd USA is an ocean common carrier assigned FMC Org No. 020438 and based in New Jersey. Response at 4.
4. Non-party Asstra NY Inc. ("Asstra"), FMC License No. 026243NF, was the NVOCC on the shipment. Claim at 2.

B. Shipment

5. The beneficial cargo owner, who is not a party, booked a shipment of household goods from the United States to Brazil with Asstra. Claim at 2.

² Filings such as the claim and sworn translation that do not have page numbers refer to the PDF assigned page numbers.

6. Asstra instructed HLAG to list Sealink as the consignee on the HLAG bill of lading. Response at Exhibit 1.
7. HLAG issued bill of lading HLCUBSC2402BEKI1 showing Asstra as the Shipper and Sealink as consignee and notify party. Claim at Exhibit 3a.
8. On March 13, 2024, the cargo arrived in Brazil. Free time ran from March 15-April 4, 2024. Claim at Exhibits 2a, 2b, 2c.
9. The cargo was not removed from the marine terminal within the allotted free time. Accordingly, HLAG's agent issued invoices to Sealink for demurrage charges through July 29, 2024. Response at 2; Claim at Exhibits 2a, 2b, 2c.

C. Billing Dispute

10. The invoices state: "This invoice is issued on behalf of Hapag-Lloyd AG." Claim at Exhibits 2a, 2b, 2c.
11. The bill of lading terms and conditions defines a merchant to include "the booking party, shipper and consignee named on page 2 hereof, holder, receiver of the Goods or of this Bill of Lading, and any person owning or entitled to the possession of the Goods or this Bill of Lading." Reply at 2; Reply at Sworn Translation at 3.
12. On October 7, 2024, a compromise was reached between HLAG and Sealink wherein Sealink agreed to a payment plan. Claim at 2; Response at 2; Claim at Exhibits 1 (payment schedule), 6b (Translated Payment Agreement).
13. The compromise agreement states that the "Debtor acknowledges direct responsibility for payment of the total debt of USD 27,816.80" and that a court in Brazil would have "exclusive jurisdiction" over "any disputes arising from this agreement." Claim at Exhibit 6b.
14. An email dated March 7, 2025, from Hapag-Lloyd to Sealink states: "Since the last installment is overdue, we will have to suspend SEALINK BRASIL's activities until all outstanding legal debts have been settled in full." Reply at Sworn Translation at 7.
15. An email later on March 7, 2025, from Sealink to Hapag-Lloyd, states: "I would like to clarify that at no point did we state that we do not intend to pay, as evidenced by the fact that we signed a liability agreement. Delays in the installment may occur, but we are committed to payment and continue to do so." Reply at Sworn Translation at 4.
16. Sealink made the payments required under the compromise agreement. Claim at 3; Claim at Exhibit 3; Response at 2.

III. DISCUSSION

A. Burden of Proof

“In all cases governed by the requirements of the Administrative Procedure Act, 5 U.S.C. 556(d), the burden of proof is on the proponent of the motion or the order.” 46 C.F.R. § 502.203. A person alleging a Shipping Act violation, therefore, bears the burden of proof to demonstrate its allegations by a preponderance of the evidence. 46 C.F.R. § 502.203; 5 U.S.C. 556(d); *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Docket No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014). The term “burden of proof” is understood to mean “the burden of persuasion.” *Director v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). When the party with the burden of persuasion produces sufficient evidence (characterized as a prima facie case), the burden of production shifts to the other party to produce evidence rebutting that case. *In re South Carolina State Ports Auth. for Declaratory Order*, Docket No. 94-24, 27 S.R.R. 1137, 1161 (FMC Aug. 12, 1997). *Steadman v. SEC*, 450 U.S. 91, 101 (1981) (“Where a party having the burden of proceeding has come forward with a prima facie or substantial case, he will prevail unless his evidence is discredited or rebutted.”). When direct evidence is unavailable, inferences may be drawn from certain facts and circumstantial evidence may be sufficient so long as the fact finder does not rely on mere speculation. *Waterman S.S. Corp v. General Foundries, Inc.*, Docket No. 93-15, 26 S.R.R. 1173, 1180 (ALJ Dec. 9, 1993) adopted in relevant part, 1994 WL 279898, 26 S.R.R. 1424 (FMC June 13, 1994). If the evidence produced by both parties is evenly balanced, the party with the burden of persuasion will not prevail. *Greenwich Collieries*, 512 U.S. at 281.

B. Controlling Authority

Section 41102(c) of the Shipping Act states that a “common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). The elements of a section 41102(c) claim are that:

- (1) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (2) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (3) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (4) The practice or regulation is unjust or unreasonable; and
- (5) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

The act at issue is the assessment of “demurrage” charges, which are defined as “any charges, including ‘per diem,’ assessed by ocean common carriers . . . related to the use of . . . shipping containers, not including freight charges.” 46 C.F.R. § 545.5(b). As explained by the

Court of Appeals for the District of Columbia, “Demurrage refers to the charge the merchant pays for the use of the space a container occupies at the port when the merchant delays in picking it up after the expiration of its free time.” *Evergreen Shipping Agency (Am.) Corp. v. FMC*, 106 F.4th 1113, 1114 n.* (D.C. Cir. 2024).

The Commission has provided guidance about how it will interpret 46 U.S.C. § 41102(c) in the specific context of assessing the reasonableness of demurrage and detention practices and regulations. 46 C.F.R. § 545.5(a). Specifically, “the Commission will consider the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity.” *Id.* § 454.5(c). In conducting the reasonableness analysis, the Commission may consider the extent to which the practices and regulations “relate demurrage or free time to cargo availability for retrieval.” *Id.* § 545.5(c)(2)(i). The “existence, accessibility, content, and clarity of policies implementing demurrage and detention practices and regulations” may also be considered in the reasonableness analysis. *Id.* § 545.5(d).

As the Commission explained in the Interpretive Rule on Demurrage and Detention Under the Shipping Act (“Demurrage and Detention Rule”), consignees are the ones who receive notice of cargo availability:

This factor reflects that: (1) Ocean carriers are obligated under their contracts of carriage to give notice to consignees so that they have a reasonable opportunity to retrieve the cargo; (2) that notification practices must be reasonably tailored to fit their purposes under section 41102(c); and (3) the notion that aligning cargo retrieval processes with the availability of cargo will promote efficient removal of cargo from valuable terminal space.

85 Fed. Reg. 29638, 29656 (May 18, 2020) (footnote omitted); *see also* Demurrage and Detention Billing Requirements (“Billing Rule”), 89 Fed. Reg. 14330, 14340–41 (Feb. 26, 2024).

The Commission has addressed who can be billed for demurrage and detention. The D.C. Circuit described these efforts:

The Federal Maritime Commission, with support from Congress, has sought to address the significant and growing concerns with demurrage and detention charges and practices. In 2020, the Commission adopted an interpretive rule providing that, when assessing the reasonableness of those practices, the Commission generally would “consider the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity.” Interpretive Rule, 85 Fed. Reg. at 29666. In 2022, Congress built on the Commission’s interpretive rule in the Ocean Shipping Reform Act, Public Law 117–146, 136 Stat. 1272. Congress instructed the Commission to “further clarify reasonable rules and practices related to the assessment of detention and demurrage charges to address the issues identified in the” interpretive rule, “including a determination of which parties may be appropriately billed for any demurrage, detention, or other similar per container charges.” *Id.* § 7(b)(2), 136 Stat. at 1275–76 (codified at 46 U.S.C. § 41102 note) (emphasis added).

Later in 2022, the Commission proposed a rule to carry out Congress’s direction to specify which parties can be assessed demurrage and detention charges. Proposed Rule, 87 Fed. Reg. at 62341, 62346. The Commission noted truckers’ concerns about being invoiced even though they were not parties to the shipping contracts and about being forced to cover disputed charges as a condition of picking up or dropping off containers. *Id.* at 62345. To address those sorts of concerns, the proposed rule adopted an approach under which “only the person who contracted with the common carrier for the carriage or storage of goods may be issued an invoice.” *Id.* at 62349. In the Commission’s view, the “current system, in which parties who did not negotiate contract terms with the billing party are nonetheless bound by them, creates additional confusion and hardship and exacerbates problems in the supply chain.” *Id.* at 62348. That is in part because “third parties lack direct involvement and information” and thus are not “privity to the demurrage and detention terms negotiated by the parties to the original contractual agreement” (who are usually the ocean carrier and the shipper). *Id.* at 62349. The “proposed rule should simplify the current system and ensure that only the person with the most knowledge about the shipment and who is in the best position to understand and dispute the charge receives a demurrage or detention invoice.” *Id.* at 62350.

Even so, the Commission sought comment on one possible exception to its approach of confining invoices only to parties “who contracted with the common carrier”: the Commission asked for input on “whether it would be appropriate to also include the consignee named on the bill of lading as another person who may receive a demurrage or detention invoice.” *Id.* at 62349–50.

World Shipping Council v. FMC, 152 F.4th 215, 218–19 (D.C. Cir. 2025).

In February 2024, the Commission issued its Billing Rule, stating that a properly issued invoice is a demurrage or detention invoice issued by a billing party to the shipper or the consignee. Billing Rule, 89 Fed. Reg. at 14330 (codified at 46 C.F.R. § 541.4). The D.C. Circuit set aside this section of the Billing Rule, finding that “regardless of any uncertainties about whether the Rule permits billing a non-contracting consignee, the Rule’s bar against billing a contracting motor carrier itself suffices to require setting the Rule aside as arbitrary and capricious.” *World Shipping Council v. FMC*, 152 F.4th at 224. Of note, the D.C. Circuit did not find it improper to bill the consignee.

C. Analysis

1. Section 41102(c) Elements

All five elements of a section 41102(c) claim are addressed below. Although some of the required elements are met, Claimant has not established that Hapag-Lloyd engaged in an unreasonable practice.

a. Regulated Entity

Claimant contends that HLAG is a vessel-operating common carrier subject to the Commission's jurisdiction and that HLUSA has operations in the United States. Claim at 1. Respondents assert that HLUSA should be dismissed as a party as it is "an entirely separate ocean common carrier" and the claim does not allege "any act or omission on the part of HLUSA." Response at 4.

The Commission has stated that "not everything an ocean carrier or marine terminal operator does is within the Commission's purview-an ocean carrier or marine terminal operator must be acting as a common carrier or marine terminal operator as defined by the Shipping Act with respect to the conduct at issue." Demurrage and Detention Rule, 85 Fed. Reg. at 29650. "The approach supported by the text of § 41102(c) and Commission caselaw asks: was the respondent acting as a regulated entity with respect to the conduct at issue?" *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Docket No. 15-04, 2019 WL 4734299, at *12 (FMC July 16, 2019).

HLAG does not contest that it is a regulated entity. The evidence shows that HLAG is an ocean common carrier regulated by the Commission. The regulated entity element is met for HLAG.

HLUSA is listed in the claim as a place where HLAG has United States operations. Claim at 1. The Commission's Office of the Secretary did not list HLUSA on the case caption and it is not clear that Sealink meant to identify HLUSA as a respondent. The three invoices were issued on behalf of HLAG and the compromise was reached between HLAG and Sealink. Claim at Exhibits 2a, 2b, 2c, 6b. It appears that HLAG is the entity which handled the shipments and imposed the charges. Therefore, if HLUSA was named as a respondent, it is dismissed as it was not operating as the regulated entity which handled this shipment.

b. Unjust and Unreasonable

(1) Billing consignee

The primary dispute is about the reasonableness of Hapag-Lloyd billing the consignee of the shipment. Sealink contends that it acted solely as the destination handling agent and not the contracting party. Claim at 1; Reply at 2.

Hapag-Lloyd asserts that pursuant to Commission regulations, the consignee is expressly identified as an entity to which an invoice may be properly issued. Response at 6. Moreover, Hapag-Lloyd argues that Sealink was the person to whom final delivery of the cargo was to be made by HLAG and that the actions here were consistent with industry practice, explaining:

In the case of shipments tendered by NVOCC, the NVOCC is typically named as the shipper on the ocean carrier bill of lading and the NVOCC or its agent is typically named as consignee. The bill of lading herein at issue reflects this practice, which exists for two reasons. First, it enables the NVOCC (either directly or through its agent) to control release of the cargo, thereby ensuring the NVOCC is paid. If the NVOCC's underlying customer were listed as consignee

on the HLAG bill of lading, the NVOCC would lose control over release of the cargo and thus its ability to ensure the receipt of payment from its customer. Second, this practice keeps the identity of the NVOCC's customer from the ocean common carrier, thereby preventing the ocean carrier from "cherry picking" the most desirable of the NVOCC's customers by approaching them regarding a direct carrier-shipper relationship.

Response at 7-8. Hapag-Lloyd concludes that "if it is improper to bill the destination agent of an NVOCC/shipper for demurrage when that agent is listed as consignee on the master B/L, then ocean common carriers will be severely hampered in their ability to collect lawful demurrage charges to the detriment of freight fluidity and the entire supply chain." Response at 8.

Here, the bill of lading terms and conditions defines a merchant to include the "booking party, shipper and consignee." Reply at 2; Sworn Translation at 3. "Consignee means the ultimate recipient of the cargo; the person to whom final delivery of the cargo is to be made." 46 C.F.R. § 541.3. Sealink asserts that Hapag-Lloyd should have billed the NVOCC Asstra. While Hapag-Lloyd could have billed Asstra under this merchant definition, it was not required to bill Asstra. Commission rules do not prohibit billing the consignee, who is responsible for picking up cargo. Sealink does not cite any caselaw that would support its position that demurrage cannot be charged to the consignee. It is logical that prompt pickup of cargo will be incentivized by billing the party responsible for picking up cargo. 46 C.F.R. § 545.5. Accordingly, Sealink has not established that the demurrage charges assessed against it as consignee are unreasonable.

(2) Compelling Payment and Interest

Sealink also claims that Hapag-Lloyd used "threats of system blocking and litigation to compel payment;" forced "execution of a legal payment agreement under duress;" and applied interest on disputed amounts. Claim at 2. These claims are not addressed in Sealink's reply.

Hapag-Lloyd states that at "no time did HLAG or anyone acting on HLAG's behalf ever threaten to deny service to Sealink, and HLAG's records reflect that Sealink shipped cargo with HLAG throughout 2024 and into 2025. HLAG categorically denies cutting off service to Sealink or threatening to do so." Response at 2.

As an initial matter, these claims are about the compromise agreement that the parties signed. It is not clear that enforcement of a compromise agreement constitutes a violation of the Shipping Act. Additionally, Sealink does not point to any evidence supporting these claims and there is no contemporaneous evidence presented that the agreement was signed under duress. Rather, Sealink stated a number of times that it intended to pay the debt. For example, an email on March 7, 2025, from Sealink to Hapag-Lloyd, states: "I would like to clarify that at no point did we state that we do not intend to pay, as evidenced by the fact that we signed a liability agreement. Delays in the installment may occur, but we are committed to payment and continue to do so." Reply at Sworn Translation at 4.

It is noted that Hapag-Lloyd threatened to suspend Sealink due to "outstanding legal debts." However, it is not clear that Hapag-Lloyd ever acted on that threat. Moreover, Sealink does not point to caselaw supporting its implied argument that common carriers must continue to

accept shipments from entities for which there are “outstanding legal debts.” Reply at Sworn Translation at 7. Similarly, Sealink does not point to law that supports its claim that interest should not have been applied in the compromise to which it agreed.

Accordingly, the evidence does not support a finding of an unreasonable practice. Therefore, the claim must be dismissed.

c. Normal, Customary, and Continuous Basis

Claimant does not address the element of whether a practice is occurring on a “normal, customary, and continuous basis” in either its claim or in its reply. 46 C.F.R. § 545.4(b).

Respondents argue that Claimant fails to state a claim, arguing:

Here, the complaint does not allege that the conduct at issue was “normal, customary, and continuous.” Moreover, it does not allege any facts that would support a conclusion that the conduct was “normal, customary and continuous.” Indeed, the complaint admits that the conduct at issue relates to a single shipment. Because the complaint fails to allege a necessary element of a successful claim under § 41102(c) and also fails to allege any facts which support said element, it fails to state a claim as a matter of law and should be dismissed.

Response at 4.

Hapag-Lloyd makes a strong argument that Claimant has not addressed or presented evidence regarding the element of “occurring on a normal, customary, and continuous basis” as required to establish a violation of section 41102(c). 46 C.F.R. § 545.4(b). As suggested by Respondents, this could be a basis to find that Claimant has not stated a claim for a section 41102(c) violation. It could also be a basis to request additional information from the parties.

It may be that Hapag-Lloyd engages in the practice of billing consignees for shipments as a normal, customary, and continuous practice, which, as found above, is not unreasonable. And, there is no evidence of unreasonable practice such as a shutout or blocking of service. While caselaw is clear that an accidental overcharge may not constitute a practice, if Hapag-Lloyd typically billed the consignee, then it may be plausible to find a practice. Without additional information, this element cannot be resolved. Given the findings above, this issue does not need to be resolved here.

d. Transportation Functions

Neither party addresses the element of whether the practice relates to or is connected with “receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). The charges were imposed due to delays in receiving or delivering property, were for the storing of that property, and are not contested. Therefore, this element is met.

e. Proximate Cause of Loss

Neither party addresses the element of whether the practice or regulation is the proximate cause of the claimed loss. 46 U.S.C. § 41102(c). The alleged loss was the fees imposed on the consignee, which are the result of the alleged unreasonable practice. Therefore, this element is met.

2. Other Issues Raised

Respondents raise a number of important questions beyond the elements of the claim. Those concerns are discussed briefly below, although they do not need to be decided here because the claim fails on the merits. However, it may be helpful to future litigants and the Commission to consider various approaches.

a. Documents Submitted

Hapag-Lloyd contends that the complaint is not properly verified and that the translation of foreign language documents is not verified. Response at 3. Sealink's reply includes a sworn and certified English translation of relevant correspondence.

The translation issue is resolved by the belated filing of the verified translations. Moreover, Hapag-Lloyd has not pointed to any concerns about the translations. Verification requirements are discussed in *Jimex USA, Inc. v. Unitrans-PRA Co., Inc.*, Docket 2036(I), 2026 WL 2102024, at *3 (ALJ July 16, 2026). While the claim is not properly verified, dismissal would be an extreme remedy. Rather, the claimant would be given an opportunity to cure the deficiency before the claim would be dismissed on that basis. Given the findings in this decision, that is unnecessary and would not change the outcome.

b. Applicability of Demurrage and Detention Rule Outside of the United States

The first question is whether the Demurrage and Detention Rule applies to charges incurred outside of the United States. This issue has been raised in a number of recent proceedings. *See, e.g., Sealink International, Inc., and Sealink International, Ltd. v. Southern International Co., Ltd.*, Docket 2029(I), 2026 WL 1190417, at *8-11 (ALJ April 22, 2026) (admin. final May 26, 2026); *Vanasia Trading Group, Inc. v. Bilink Shipping Corp.*, Docket 2037(I), 2026 WL 2102013, at *1 (ALJ July 14, 2026).

Claimant does not contest the fact that the demurrage charges were incurred in Brazil and does not address the argument regarding whether detention and demurrage charges incurred outside of the United States are subject to section 41102(c)'s application of the Demurrage and Detention Rule.

Respondents argue that Section 41102(c) should not be applied to charges outside of the United States, stating:

HLAG has not found any instance in which section 41102(c) of the Act has been applied to demurrage charges assessed outside of the United States. HLAG has not found any Commission statement or guidance directly addressing the issue but, for the reasons stated below, believes that the application of section 41102(c) to demurrage and detention should be limited to demurrage and detention incurred/assessed in the United States.

Response at 4-5.

HLAG contends that application of section 41102(c) should be limited to demurrage and detention in the United States for three reasons. First is international comity, as application of the Act “to conduct occurring within a foreign country arguably intrudes upon the sovereignty of that country.” Response at 5. Second is that “all rulemaking activity related to the issue appears to be based on the implicit assumption that it would apply only in the United States.” *Id.* Third, Hapag-Lloyd contends that if the Commission extended “the application of section 41102(c) to demurrage/detention incurred outside of the United States, there is once again likely to be a significant increase in the amount of litigation before the Commission.” *Id.* at 6.

The Demurrage and Detention Rule specifically addresses exports, saying:

Commenters did, however, raise questions about the scope of the rule. Several commenters urged that the rule apply to export shipments as well as imports, and they raised issues unique to exports, such as rolled bookings due to vessel and schedule changes and ocean carrier changes to container return cutoff dates and insufficient notice of such changes.

To be clear, the rule is not limited to import shipments and applies to export shipments as well. In particular, the guidance on the incentive principle, demurrage and detention policies, and transparent terminology would apply in situations involving exports. The NPRM preamble focused on import issues because imports were the focus of the Fact Finding Investigation and most of the complaints.

85 Fed. Reg. at 29650 (footnote omitted). It is not entirely clear whether this refers to charges incurred at the export destination as well as to charges incurred at the United States port. In other sections, the Commission seems to focus on detention and demurrage practices in the United States. *See, e.g.*, 85 Fed. Reg. at 29639-40 (“guidance will promote fluidity in the U.S. freight delivery system;” and “[a]ll international supply chain actors could benefit from transparent, consistent, and reasonable demurrage and detention practices, which would improve throughput velocity at U.S. ports.”); *see also* Billing Rule, 89 Fed. Reg. at 14354 (the Commission “has jurisdiction over ocean cargo that is shipped under a through bill of lading to a final destination in the United States.”). Thus, the issue is not resolved by Commission guidance.

Charge complaints are a relatively new procedure for submitting complaints about charges assessed by a common carrier which are alleged to violate the Shipping Act. The charge complaint informal guidance specifically states that “Charge Complaint procedures do not apply to the following . . . Charges assessed on export cargo loading on a vessel at a non-U.S. port, or on import cargo discharging from a vessel at a non-U.S. port.” *Guidance on Charge Complaint*

*Interim Procedure (“Charge Complaint Guidance”).*³ So those would be shipments, perhaps transported in part by truck or rail, leaving the United States from a non-United States port and exported to another country or cargo imported to the United States from another country but discharged at a non-United States port. As the Shipping Act defines a common carrier in part as an entity providing transportation “by water” of “cargo between the United States and a foreign country,” these shipments would not constitute common carriage and the Commission would not have jurisdiction over them as they do not utilize a United States port. *See, e.g., CMI Distribution, Inc. v. Service By Air, Inc., Radiant Customs Services Inc., and Las Freight Systems Ltd.*, Docket 17-05, 2019 WL 4734318, at *4 (ALJ May 24, 2019) (aff’d and reversed in part on other grounds (FMC July 26, 2021)). This case is different in that the goods left from a United States port, so there is jurisdiction and the issue cannot be resolved on that basis.

As Hapag-Lloyd highlights, there are reasons not to apply the Demurrage and Detention Rule to charges incurred outside of the United States. Here, the demurrage charges at issue were incurred in Brazil; the parties agreed to resolve the dispute and to apply the law of Brazil to any disputes; many of the relevant documents are not in English; and relevant witnesses are in Brazil. Additionally, different countries have different legal requirements for their ports which would need to be taken into consideration.

Conversely, arguably the Demurrage and Detention Rule should apply to charges incurred outside of the United States. Cases before the Commission typically involve international shipping, meaning that part of the transportation occurs at a foreign port. This has not prevented the Commission from deciding these cases and parties are able to provide relevant information about requirements at international ports. Moreover, many of the Demurrage and Detention Rules, including who can be billed and the dispute resolution process, are not issues confined to the international port but rather apply throughout the transportation.

On this record, it would not be appropriate to make a blanket rule that applies to every demurrage and detention charge incurred at a foreign port. As with other section 41102(c) issues, each case will be resolved on the particular facts of that case.

c. Administrative Procedure Act

Hapag-Lloyd asserts that the consideration of a complaint that has already been considered and dismissed by the Commission in the charge complaint process raises serious concerns under the Administrative Procedure Act. Response at 8-10. Further, Hapag-Lloyd asserts that no adverse decision should be entered without additional information about the charge complaint process, such as the identity of the Commission employee(s) who decided to dismiss it, depositions, and documents related to that decision. *Id.* at 10 n. 2.

Congress passed the Ocean Shipping Reform Act of 2022, mandating the Commission to consider “complaints about charges assessed by a common carrier” to determine if they violate the Shipping Act, including section 41102. 46 U.S.C. § 41310(a). Under the statutory provision setting forth the charge complaint process, 46 U.S.C. § 41310(b), the Commission conducted an

³ www.fmc.gov/ocean-shipping-reform-act-of-2022-implementation/guidance-on-charge-complaint-interim-procedure (last visited July 24, 2026).

investigation to determine whether, in its discretion, it would issue an Order to Show Cause under 46 C.F.R. § 502.91 to initiate a formal adjudication. *See Industry Advisory - Interim Procedures for Submitting "Charge Complaints" Under 46 U.S.C. § 4130 ("Interim Procedures")*;⁴ *Charge Complaint Guidance*. "Investigations that do not support a violation are closed and the parties are notified." *Charge Complaint Guidance*. The Commission's determination not to initiate an adjudication is not a final decision on the merits of the charge complaint. This is reflected in the Commission's *Interim Procedures* which provides: "A party is not barred from filing a subsequent small claims or formal complaint with the Commission based on an initial determination under the Charge Complaint procedure not to refer the matter to the Office of Enforcement concerning the disputed charge." *Id.* In accordance with this guidance, the claim may be adjudicated essentially de novo so that any prior declination to pursue bears no weight in the analysis. *Saharan Sustenance v. CMA CGM (America) LLC*, Docket No. 2039(I), 2026 WL 1286243, at *12 (SCO May 8, 2026) (admin. final June 9, 2026).

Hapag-Lloyd asserts that this claim was heard in the charge complaint process and Sealink does not contest that fact. The parties did not submit charge complaint documents, and there is no publicly available information about what claims have been investigated in the charge complaint process, the outcome, or the basis for closing the investigation, unless the formal adjudication stage is reached. So, while it is uncontested that a charge complaint was brought, the outcome of the investigation is not part of this record.

It would be more efficient if adjudicators, parties, and the shipping public better understood the basis for charge complaint decisions. Then, parties could make more informed decisions about claims. For example, the guidance provided on the Commission's website is useful information to provide to the shipping public and could be expanded as new issues arise. It is not clear, however, how the identity or a deposition of the charge complaint decision maker would be relevant.

Hapag-Lloyd further argues that the "fact that the same claim herein at issue was brought under § 41310 and dismissed means that as a matter of law the Commission determined in the charge complaint proceeding that Hapag-Lloyd proved the charges herein at issue to be reasonable." Response at 9. However, it is not clear if the investigation was closed due to the reasonableness element, the practice element, a lack of sufficient evidence, or another reason.

Although a charge complaint differs procedurally from the claim here, to the extent that it applies the Shipping Act, arguably the law should be applied consistently regardless of the procedure selected to enforce it. Section 41310(b) of the Shipping Act requires that the common carrier have an opportunity to respond to a complaint about a charge assessed against it but also states that the "common carrier shall . . . bear the burden of *establishing* the reasonableness of any demurrage or detention charges pursuant to section 545.5 of title 46, Code of Federal Regulations (or successor regulations)." 46 U.S.C. § 41310(b) (emphasis added). Thus, arguably, Congress wanted 46 C.F.R. § 545.5 to include a requirement for common carriers to establish the reasonableness of any demurrage or detention charge.

⁴ www.fmc.gov/articles/industry-advisory-interim-procedures-for-submitting-charge-complaints-under-46-u-s-c-%c2%a7-41310/ (last visited July 24, 2026).

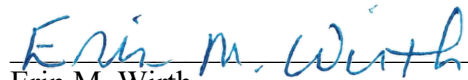
The *Charge Complaint Guidance* states that the “common carrier” has “the burden of proof in a Charge Complaint proceeding.” Thus, it appears that the Commission may be interpreting “the burden of establishing the reasonableness” as the “burden of proof,” which in administrative proceedings typically refers to the “burden of persuasion.” *Dir., Office of Workers’ Comp. Programs v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). This is consistent with decisions that equate “establishing” with “persuading.” *See, e.g., Microsoft Corp. v. 14I Ltd. Partnership*, 564 U.S. 91, 97 (2011).

On the other hand, the term burden of proof has been described as “one of the ‘slipperiest members of the family of legal terms.’” *Schaffer v. Weast*, 546 U.S. 49, 56 (2005) (quoting 2 J. Strong, McCormick on Evidence § 342, p. 433 (5th ed.1999)). And, the Billing Rule mentions “the intent of OSRA 2022 to *shift the burden* to billing parties to *justify* the demurrage or detention charges.” 89 Fed. Reg. at 14345 (emphasis added). Other Commission cases apply a shift in the burden of production once the Claimant has presented a prima facie case. *See, e.g., Petition of South Carolina State Ports Authority for Declaratory Order*, Docket No. 94-24, 1997 WL 35451811, at *37 (FMC Aug. 12, 1997); *Gruenberg-Reisner v. Overseas Moving Specialist*, Docket No. 1947(I), 2017 WL 2241031, at *9 (SCO May 17, 2017) (SCO Decision on Remand) (admin. final June 19, 2017). The requirement for respondents to establish reasonableness could arguably be interpreted as a shift in the burden of production once the Claimant has presented a prima facie case. This issue can be resolved in future proceedings.

Another important consideration is whether Congress intended that the Commission consider individual charges assessed by common carriers, which, for purposes of section 41102(c), would impact the practice element. It is not clear how this element of a section 41102(c) claim is being applied in charge complaint proceedings. Future cases may provide greater clarity, which will increase efficiency, avoid inconsistent results, and benefit the shipping industry.

IV. ORDER

It is hereby **ORDERED** that the claim is **DENIED** and **DISMISSED**.


Erin M. Wirth
Chief Administrative Law Judge